



KENYATTA UNIVERSITY

UNIVERSITY EXAMINATIONS 2014/2015

DIGITAL SCHOOL OF VIRTUAL AND OPEN LEARNING

SECOND SEMESTER EXAMINATION FOR CERTIFICATE IN PROJECT MANAGEMENT

BAC 011: PROJECT COST MANAGEMENT

DATE: Wednesday 29th April, 2015

TIME: 8.00 a.m – 10.00 a.m

INSTRUCTIONS:

The paper has FOUR questions

Answer ALL questions

QUESTION ONE:

- (a) Explain **four** components of project cost management. (8 marks)
- (b) Explain the following terms
- i. Life cycle costing (2 marks)
 - ii. Value engineering (2 marks)

QUESTION TWO:

Explain the planning process, indicating the input, tools and equipment and output. (20 marks)

QUESTION THREE:

Given the following:

Yrs	Revenue	PV(r)	Cost	PV(c)
0	0		50,000	
1	3,000		35,000	
2	13,500		15,000	
3	30,000		5,000	
4	40,000		5,000	
5	50,000		5,000	
6	50,000		10,000	
7	50,000		15,000	

- a) Calculate the present value of both revenue and cost assuming a 10% interest rate. (4 marks)
- b) Calculate the benefit-cost ratio. (4 marks)
- c) Based on the BCR and profitability alone, would you do this project? (4 marks)

QUESTION FOUR:

Work Unit	Completion Date	Budget	Work Performed	Actual Cost
A	Jan. 31	10	10	12
B	Feb. 28	5	4	5
C	Mar 31	6	8	8
D	May 12	15	13	12
E	June 30	20	20	30
F	July 18	3	0	0
G	Aug. 30	35	0	0
H	Sept. 22	22	0	0
I	Oct. 29	12	0	0
J	Nov. 30	9	0	0

BAC = Sum of the Budgets for all of the work units = 137

- a) What is Cost Variance? (2 marks)
- b) What is the Schedule Variance? (2 marks)
- c) What is the CPI? (2 marks)
- d) What is SPI? (2 marks)
- e) What is EAC? (2 marks)
- f) What is the ETC? (2 marks)
- g) What is the Percent Complete? (2 marks)
- h) What is the percent Spent? (2 marks)
- i) What can be said about this project? (2 marks)